

## REGULATORY COMPLIANCE HANDBOOK v4.0

### 1. Know Your Client (KYC) Procedures

- Verify client identity (SEC Rule 17a-3)
- Assess client's financial situation
- Determine investment objectives and risk tolerance
- Update client information at least annually

### 2. Anti-Money Laundering (AML) Protocols

- Monitor for suspicious transactions (FinCEN SAR requirements)
- Report transactions over \$10,000 (FinCEN Form 112)
- Conduct ongoing due diligence
- Implement risk-based AML program (FINRA Rule 3310)

### 3. Disclosure Requirements

- Provide clear fee structure (SEC Form ADV)
- Disclose potential conflicts of interest
- Explain investment risks
- Deliver Form CRS to retail investors (SEC requirement)

### 4. Ethical Standards

- Act in the best interest of the client (SEC Regulation Best Interest)
- Maintain client confidentiality
- Avoid misleading or exaggerated claims
- Adhere to FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

### 5. Record-Keeping and Reporting

- Maintain accurate client records for 7 years (SEC Rule 17a-4)
- Document all client interactions and recommendations
- Submit required reports to regulatory bodies
- File Form ADV annually

### 6. Cybersecurity and Data Protection

- Implement written information security policies (WISP)
- Conduct regular cybersecurity risk assessments
- Train employees on data protection best practices
- Comply with SEC Regulation S-P (Privacy of Consumer Financial Information)

## 7. Social Media and Digital Communication

- Retain records of digital communications (FINRA Rule 2210)
- Implement social media policies for advisors
- Monitor and archive social media activity
- Ensure all digital communications comply with advertising regulations

## 8. Continuing Education Requirements

- Complete Regulatory Element every three years
- Fulfill Firm Element requirements annually
- Document all completed continuing education
- Stay updated on new regulations and industry best practices

## 9. Fiduciary Duty

- Understand and comply with fiduciary responsibilities
- Regularly assess and manage conflicts of interest
- Document reasoning behind investment recommendations

## 10. Compliance Calendar

- Annual review of policies and procedures
- Quarterly transaction reports
- Annual holdings reports
- Ongoing monitoring and testing of compliance program